

guest column

By Oleg V. Deripaska

TIME TO REINVENT

The moment is ripe for pushing innovation and high-tech industry as the Russian



Economic reforms in Russia are moving at a fast pace. In less than 20 years, the country has come a long way from economic downturn and political uncertainty to the formation of civilised market relationships. Although some market mechanisms are still imperfect, the Russian economy has now become more predictable and understandable for the world community.

The country's economic growth has been driven by the favourable situation in the commodities market. However, a sustainable future for the economy, and high quality growth, will not be achieved by resource strength alone. Sustainable national development is possible only by securing structural changes, which will allow secondary and high-tech industries to overtake primary industrial sectors. It is important that Russia continues to develop its technology base and innovate to strengthen its competitive position globally. Russia had taken up leading positions in knowledge-based industries such as space, atomic energy, power equipment and others.

Here we can provide the state-of-the-art technical solutions and have an experienced workforce. These industries should become the drivers of the country's economic growth.

Russia has opened its market to foreign manufacturers to establish assembly lines though such an approach will not produce significant results in the long run. Instead, the country has to focus its efforts on growing domestic original equipment manufacturers (OEM), primarily in industries where we have strong competitive advantages. Although it is not an easy task to establish such companies, their emergence is a prerequisite for increasing the competitiveness of the Russian processing industry and promoting our products in high-tech markets. Therefore, a key focus of the Russian economic policy should be on the creation of conditions that will allow national OEMs to flourish in the country.

Some Russian companies compete abroad successfully today. Unfortunately when it comes to manufacturing industries and technology companies, we must admit that they are not amongst world leaders. One reason is lack of com-

petitive technological base. The pro Companies are slow in introducing standards and technologies. Western nations are several steps ahead and we

We also face more fundamental trouble increases production costs and goods less competitive. Inflationary pressure, a high tax burden, makes it difficult for their profits in technology, and high level of technological investment activity from much either. I hope the Government will

Another issue that should be addressed is the workforce. We have lost a lot of our talent in the last 20 years to the developed na-



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economy desperately needs them, we back to build a power station, a factory. The Russian Government and the both focus on this—support research and education system, grant tax incentives to companies in training and R&D. We've always been mental science and the so-called breakthroughs. We need to save and develop this

We need a national competitiveness 20-30 years. Political stability and favourable economic situation today make it possible economy, a budget surplus and record The state needs to pay more attention to in more revenue than crude exports. A this direction but there is much more to

The author is chairman, supervisory board also owns UC Rusal, the world's largest aluminium producer. He is the richest Russian and is ranked 9 in the